
2.6 LET US SUM UP

In this unit we have reviewed the growth profile of the Indian economy. For this purpose we have relied upon the national income data published by the Central Statistical Office of the Government of India. The analysis of the data has thrown some interesting facts which are briefly stated as follows:

- Over the last seven decades growth has maintained a rising trend.
- Although rising, the rate of growth has been relatively slow.
- The growth has been topsy-turvy; dramatic increase in some years followed by a sharp fall in subsequent years, e.g., the period 2015-19 followed by the year 2019-20.
- Medium and long-term prospects are bright; but the economy would have to bear the global fate. Growth rates are projected to fall over whole of the globe.
- Macro-economic stability is an essential prerequisite for achieving the growth needed for development.
- Growth does not trickle down; development must address human needs directly.
- No one policy will trigger development – a comprehensive approach is needed.
- Institutions matter, sustained development should be rooted in processes that are socially inclusive and responsive to changing circumstances.

We have also analysed the data to examine the changes that have taken place in the structure of the Indian economy over the last seven decades. This analysis has brought out a unique feature of India's economic growth: structural change in the Indian economy has deviated from the historical experience of other countries, to begin with, build up a strong agricultural base that laid foundations for rapid growth of industry. This resulted in evolution of a sound industrial base that served as a jumping pad for another transition: transition to a service/commercial economy. India, on the contrary has made a jump from the first stage to the third stage. The result is an absence of a strong manufacturing foundation this has remains implications for removing poverty and unemployment.

We will address the issues in the subsequent units of the present course.

2.7 TERM - END EXERCISES

- 1) Examine in brief the different phases of growth of the Indian economy since 1991.
- 2) "The pattern of structural change in the Indian economy has deviated from the development pattern of Western and South Asian economies." Examine this statement.
- 3) The unorganised sector dominates the Indian economy. Do you agree?

2.8 KEY WORDS

Association of Southeast Asian Nations (ASEAN)	: A regional grouping that promotes economic, political, and security cooperation among its ten members: Brunei, Cambodia, Indonesia, Laos, Malaysia, Myanmar, the Philippines, Singapore, Thailand, and Vietnam.
Federalism	: The distribution of power in an organisation (such as a government) between a central authority and the constituent units.
Fiscal Deficit	: The difference between the total income of the government (total taxes and non-debt capital receipts) and its total expenditure.
Free Trade Agreement (FTA)	: A treaty between two or more countries to facilitate trade and eliminate trade barriers.
Gross Fixed Capital Formation	: As per RBI, Gross capital formation refers to the 'aggregate of gross additions to fixed assets (that is fixed capital formation) plus change in stocks during the counting period.'
Insolvency and Bankruptcy Code (IBC), 2016	: The bankruptcy law of India which seeks to consolidate the existing framework by creating a single law for insolvency and bankruptcy to resolve insolvency in a time-bound manner.
Minimum Support Prices (MSP)	: MSP is an agricultural product price, set by the Government of India to purchase directly from the farmer.
Unorganised Sector	: As per 'Ministry of Labour and Employment'—Unorganised sector means an enterprise owned by individuals or self-employed workers and engaged in the production or sale of goods or providing service of any kind whatsoever, and where the enterprise employs workers, the number of such workers is less than ten.

2.9 REFERENCES

- 1) Ishwar C. (2019) Dhingra, *Indian Economy in the Twenty-First Century*, Manakin Press, New Delhi.
- 2) The World Bank, (March 2018). India Development Update: India's Growth Story. Retrieved from <http://documents1.worldbank.org/curated/en/814101517840592525/pdf/India-development-update-Indias-growth-story.pdf>
- 3) Patnaik I and Pandey R. (2019). Savings and capital formation in India. Retrieved from https://macrofinance.nipfp.org.in/PDF/PatnaikPandey-savings_and_capital_formation_in_India.pdf

- 4) Kumar P. (May 2020). The Economic Impact of COVID 19 with special reference to India. Retrieved from http://164.100.47.193/Refinput/New_Reference_Notes/English/06072020_125312_1021205239.pdf

2.10 ANSWERS OR HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) See Section 2.2
- 2) See Section 2.2
- 3) See Section 2.2

Check Your Progress 2

- 1) See Section 2.3
- 2) See Sub-section 2.3.5
- 3) See Sub-section 2.3.4

Check Your Progress 3

- 1) See Sub-section 2.4.3
- 2) See Sub-section 2.4.4
- 3) See Sub-section 2.4.5

ignou
THE PEOPLE'S
UNIVERSITY